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Aspeed Technology | Asia Pacific

2Q Beat with 72% GM; Stronger Outlook; OW

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

↑ Modest upside

Financial results versus consensus

↑ Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- We now project 3Q revenue to be up at least 22% Q/Q, with GM down slightly Q/Q given higher substrate and OSAT prices.
- 4Q revenue is likely to show another double-digit Q/Q increase as E-glass-based AST2700 enters mass production.
- We think GM is likely to be sustained at ~70% given a better mix from new products like AST2700.
- On the other hand, we believe the investment in M31 (6643.TWO; NC) is for IP partnership in Aspeed's next-gen products such as AST2800.
- Stay OW at 59x 2027e EPS.

2Q earnings beat:

- EPS NT\$40.87, +9% Q/Q and +146% Y/Y, 10% above our estimate.
- Revenue +23% Q/Q and +72% Y/Y, 3% above the Street, driven by strong AI GPU and CPU demand.
- GM rose 2.8ppt Q/Q, to 72%, 3.5ppt above our estimate/3.4ppt above the Street, which we attribute to the April price hike.
- OpM increased 1.2ppt Q/Q, to 53.9%, but was 0.5ppt below our estimate/0.3ppt below the Street, mainly owing to employee CSU distribution.

July/3Q sales:

- Aspeed reported July revenue of NT\$1,524mn, +16% MoM and +98% Y/Y.
- We expect August/September sales to be higher given more substrate support.

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Aspeed Technology (5274.TWO, 5274 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$20,888.00
Up/downside to price target (%)	30
Shr price, close (Aug 5, 2026)	NT\$16,020.00
52-Week Range	NT\$18,072.73-4,109.09
Sh out, dil, curr (mn)	38
Mkt cap, curr (mn)	NT\$601,615
EV, curr (mn)	NT\$595,317
Avg daily trading value (mn)	NT\$3,600

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	103.94	187.79	272.45	394.48
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	100.67	179.63	292.75	428.62

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Revenue, net (NT\$ mn)	9,085	17,866	26,027	36,206
EBITDA (NT\$ mn)	4,984	10,077	15,464	22,443
ModelWare net inc (NT\$ mn)	3,928	8,217	12,462	18,044
P/E	63.5	85.3	58.8	40.6
P/BV	32.7	60.3	44.6	31.4
RNOA (%)	214.7	594.0	439.4	432.3
ROE (%)	69.7	108.5	99.6	99.8
EV/EBITDA	48.5	58.7	38.0	25.9
Div yld (%)	0.5	1.0	1.4	2.1
FCF yld ratio (%)**	0.7	1.0	1.5	2.3
Leverage (EOP) (%)	(83.2)	(78.9)	(78.5)	(78.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Aspeed Technology (5274.TWO)

Base case, residual income model. Key assumptions:

- Cost of equity of 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta)
- Medium-term growth rate of 21.4%
- Terminal growth rate of 5.5%
- Cash payout ratio of 85%

Risks to Upside

- Stronger cloud demand
- Faster-than-expected spec migration
- Mild competition

Risks to Downside

- Softening cloud demand
- Slower-than-expected spec migration
- Intensified competition
- Further policy tightening in China

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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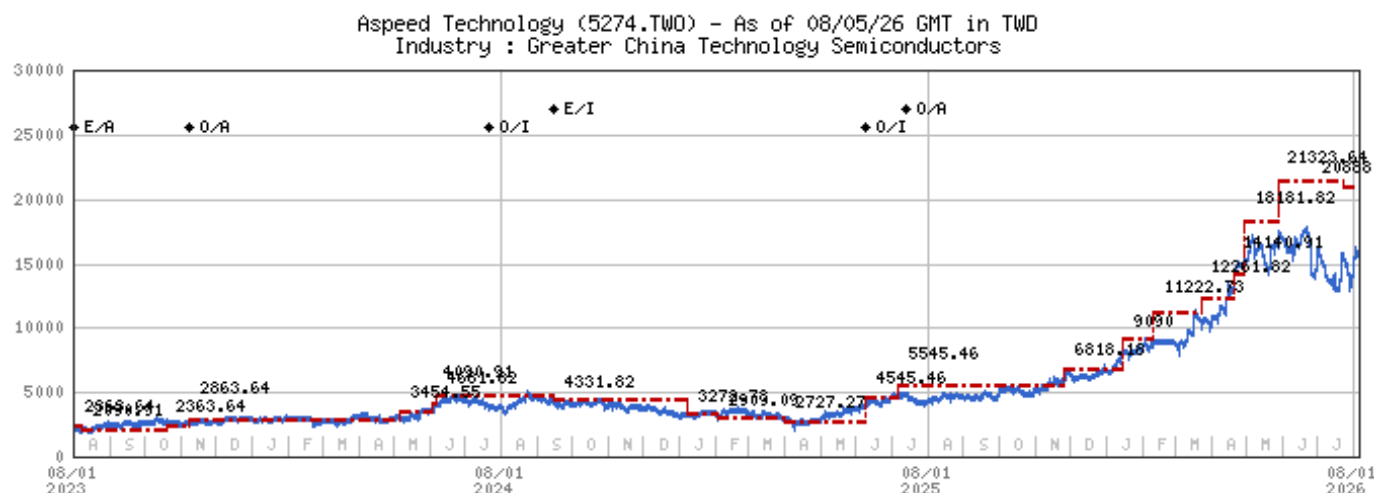
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Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/05/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$82.51
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb358.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$124.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,610.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$593.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,136.90
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,390.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$447.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$141.50
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$484.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$247.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb72.87
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,000.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb726.03
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$445.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb734.20
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb90.83
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,845.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb104.02
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.00
SMIC (0981.HK)	O (10/21/2025)	HK\$68.00
TSMC (2330.TW)	O (02/07/2022)	NT\$2,405.00
UMC (2303.TW)	O (05/19/2026)	NT\$122.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$157.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$376.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$165.60
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb58.15
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb92.85
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb30.62
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb288.85
Innoscence (2577.HK)	E (10/13/2025)	HK\$43.90
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb68.97
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb93.52
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.33
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb67.20
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb25.96
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb91.01

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$855.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,415.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,020.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$99.40
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$160.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb110.69
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.44
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$117.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$270.40
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb212.00
Novatek (3034.TW)	U (02/04/2026)	NT\$550.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$130.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$618.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$66.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$751.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb53.27
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$169.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$129.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$225.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb109.92
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb364.92

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,070.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$600.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$14.18
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,530.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,245.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$268.49
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,885.00

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* Historical prices are not split adjusted.